SESSION 4: MID-YEAR ACQUISITIONS

Mid-year acquisition was introduced in session one. In this session, we will study detailed questions on mid-year acquisition

Objectives

At the end of this session, you should be able to prepare consolidated financial statements for mid-year acquisitions.

Acquisition during the Year

Acquisitions made during an accounting year is described as mid-year acquisitions. An accounting year is normally one year (12 months). Acquisition during the year will therefore mean less than one year; for example, three months to the year end or eight months to the year end. If the accounting year ends 31 December, and a parent acquires a subsidiary on 1 May, this will be a mid-year acquisition, and the post-acquisition period is eight months from 1 May to 31 December. The pre-acquisition period is therefore four months from 1 January to 30 April.

But in the year end consolidated statement of financial position, the non-controlling interest in the new subsidiary will be calculated at their share of the **year end equity** in the new subsidiary. This will include not only the profit for the post-acquisition period but also their share of the newly-acquired subsidiaries:

- Share capital; plus
- Retained earnings brought forward at the start of the current year; plus
- Current year profits to the date of acquisition.

Their share of the total of these amounts will have to be brought into the CSCE, as a single line described as '**Added on acquisition of subsidiary**'.

Illustration 1: Acquisition during the year

Amma Ltd acquired an 80% interest in Kofi Ltd on 1 October 2018. The following figures relate to the year ended 31 March 2019.

	Amma Ltd GH¢'000	Kofi Ltd GH¢'000
Statement of comprehensive income		
Revenue	800	550
Costs	(400)	(350)
Profit before tax	400	200
Income tax expense	(400)	
Profit for the year	260	(50)
		150

Statements of changes in equity (extracts)

	Retained earnings GH¢'000	 GH¢'000
Brought forward	400	300

Total comprehensive income for the year	260	150
Carried forward	660	450

Additional information

	GH¢'000	GH¢'000
Share capital	500	100

Requirement

Prepare the consolidated statement of comprehensive income and the consolidated statement of changes in equity for the Amma Ltd group for the year ended 31 March 2019.

Answer to illustration 1

Consolidated statement of comprehensive income for the year ended 31 March 2019

	GH¢000
Revenue (Amma + half Kofi)	1,075
Costs (Amma + half Kofi)	(575)
Profit before tax	500
Income tax (Amma + half Kofi)	(165)
Profit for the year	335
Profit attributable to:	
Owners of Amma Ltd (ß)	320
Non-controlling interest (w1)	15
	335

Consolidated statement of changes in equity for the year ended 31 March 2019

	Share capital GH¢'000	Attributable to owners of Amma Ltd Retained earnings GH¢'000	Total GH¢'000	Non-controlling interest GH¢'000	Total GH¢'000
Brought forward	500	400	900	-	900
Total comprehensive income for the year	-	320	320	15	335
Added on acquisition of subsidiary (w2)	-	-	-	95	95
Carried forward	500	720	1,220	110	1,330

Workings

(1)	**Non-controlling interest in profit for the year**		GH¢000
	20% of (150,000 x 50%)		15
(2)	**Non-Controlling interest added on acquisition**	GH¢000	GH¢000
	Share capital	100	
	Retained earnings b/f	300	
	Profit for first half of current year (150,000 x 50%)	75	
	20% of	475	95

Acquisition of a Subsidiary Company during its Accounting Period

Where a subsidiary is acquired during its accounting period, the consolidated statement of comprehensive income should only include the post-acquisition results of that subsidiary. One way of achieving this is to apportion the statement of comprehensive income of the subsidiary into pre- and post-acquisition periods on time basis. An alternative treatment is to aggregate the total figures for the year and to adjust for pre-acquisition profit.

Illustration 2

H Ltd acquired 80% of the equity shares of S Ltd on 1 August 2022. During the year ended 31 December 2022, H made a profit of GH¢160,000 before a corporate profit tax of GH¢65,000. During the same period, S made a profit of GH¢72,000 before a tax charge of GH¢30,000.

Dividends declared for the year were as follows:

	H GH¢	S GH¢
Interim paid		6,000
Final Declared	20,000	9,000

The income surplus balances for H and S as at I January 2022 were GH¢400,000 and GH¢200,000 respectively.

Prepare the consolidated statement of comprehensive income on the assumption that

a) the consolidated statement of comprehensive income includes only the post-acquisition figures of the subsidiary;
b) to bring in the whole profit of the new subsidiary for the year, and then to transfer out the pre-acquisition element

Solution 2

a) <u>H Ltd Group</u>
<u>Consolidated Statement of Comprehensive Income for the Year Ended 31 December 2022</u>

	GH¢	GH¢
Profit before tax (160,000+5/12 x 72,000)		190,000
Taxation (65,000+5/12 x 30,000)		77,500

Profit after tax	112,500
Non-controlling interest 20% of (5/12 x 42,000)	3,500
Profit attributable to the group	109,000

Consolidated retained earnings account for the year ended 31 December 2022

	GH¢	GH¢
Balance c/d H		400,000
Profit for the year		109,000
		509,000
Dividend declared		20,000
Balance c/d		489,000

b) Consolidated Statement of comprehensive income for the year ended 31 December 2022

	GH¢	GH¢
Profit before tax (160,000+72,000)		232,000
Taxation (65,000+30,000)		95,000
Profit after tax		137,000
Non-controlling interest 20% of (5/12 x 42000)	3,500	
Pre-acquisition profit - current year 7/12 x42,000	24,500	(28,000)
profit attributable to the group members		109,000

The income surplus account is the same as (a) above.

Illustration 3

On 1 October 2024 Papa purchased 75% of the equity shares in Mama. The acquisition was through a share exchange of two shares in Papa for every three shares in Mama. The stock market price of Papa's shares at 1 October 2024 was GH¢4 per share.

The summarised statements of comprehensive income for the two companies for the year ended 31 March 2025 are:

	Papa GH¢'000	Mama GH¢'000
Revenue	450,000	240,000
Cost of sales	(260,000)	(110,000)
Gross profit	190,000	130,000
Distribution costs	(23,600)	(12,000)
Administrative expenses	(27,000)	(23,000)
Finance costs	(1,500)	(1,200)
Profit before tax	137,900	93,800
Income tax expense	(48,000)	(27,800)

Profit for the year	89,900	66,000
Other comprehensive income		
Gain on revaluation of land (note (i))	2,500	1,000
Loss on fair value of equity financial asset investment	(700)	(400)
	1,800	600
Total comprehensive income	91,700	66,600

The following information for the equity of the companies at 1 April 2025 (i.e. before the share exchange took place) is available:

	GH¢'000	GH¢'000
Equity shares of GH¢1 each	350,000	160,000
Revaluation reserve (land)	8,400	nil
Other equity reserve (re equity financial asset investment)	3,200	2,200
Retained earnings	90,000	125,000

The following information is relevant:

(i) Papa's policy is to revalue the group's land to market value at the end of each accounting period. Prior to its acquisition Mama's land had been valued at historical cost. During the post-acquisition period Mama's land had increased in value over its value at the date of acquisition by GH¢1 million. Mama has recognised the revaluation within its own financial statements.

(ii) Immediately after the acquisition of Mama on 1 October 2024, Papa transferred an item of plant with a carrying amount of GH¢4 million to Mama at an agreed value of GH¢5 million. At this date the plant had a remaining life of two and half years. Papa had included the profit on this transfer as a reduction in its depreciation costs. All depreciation is charged to cost of sales.

(iii) ` After the acquisition Mama sold goods to Papa for GH¢40 million. These goods had cost Mama GH¢30 million. GH¢12 million of the goods sold remained in Papa's closing inventory.

(iv) Papa's policy is to value the non-controlling interest of Mama at the date of acquisition at its fair value which the directors determined to be GH¢100 million.

(v) The goodwill of Mama has not suffered any impairment.

(vi) All items in the above statements of comprehensive income are deemed to accrue evenly over the year unless otherwise indicated.

Required

(a) (i) Prepare the consolidated statement of comprehensive income of Papa for the year ended 31 March 2025;

(ii) Prepare the equity section (including the non-controlling interest) of the consolidated statement of financial position of Papa as at 31 March 2025.

Note: you are NOT required to calculate consolidated goodwill or produce the statement of changes in equity.

(b) IFRS 3 *Business combinations* permits a non-controlling interest at the date of acquisition to be valued by one of two methods:

(i) at its proportionate share of the subsidiary's identifiable net assets; or

(ii) at its fair value (usually determined by the directors of the parent company).

Required

Explain the difference that the accounting treatment of these alternative methods could have on the consolidated financial statements, including where consolidated goodwill may be impaired.

Solution to Illustration 3

(a) (i) Papa Ltd Group

Consolidated statement of comprehensive income for the year ended 31 March 2025

	GH¢'000
Revenue (450,000 + (240,000 x 6/12) – 40,000 intra-group sales)	530,000
Cost of sales (w (i))	(278,800)
Gross profit	251,200
Distribution costs (23,600 + (12,000 x 6/12))	(29,600)
Administrative expenses (27,000 + (23,000 x 6/12))	(38,500)
Finance costs (1,500 + (1,200 x 6/12))	(2,100)
Profit before tax	181,000
Income tax expense (48,000 + (27,800 x 6/12))	(61,900)
Profit for the year	119,100
Other comprehensive income	
Gain on revaluation of land (2,500 + 1,000)	3,500
Loss on fair value of equity financial asset investments (700 + (400 x 6/12))	(900)
	2,600
Total comprehensive income	121,700
Profit attributable to:	
Owners of the parent	111,600
Non-controlling interest (w (ii))	7,500
	119,100
Total comprehensive income attributable to:	
Owners of the parent	114,000
Non-controlling interest (w (ii))	7,700
	121,700

(ii) Papa Ltd Group

Equity Section of the Consolidated Statement of Financial Position as at 31 March 2025

Equity attributable to owners of the parent	
Share capital (350,000 + 320,000) see below	670,000
Revaluation reserve (land) (8,400 + 2,500 + (1,000 x 75%))	11,650
Other equity reserve (3,200 – 700 – (400 x 6/12 x 75%))	2,350
Retained earnings (w (iii))	201,600
	885,600
Non-controlling interest (w (iv))	107,700
Total equity	993,300

The share exchange would result in Papa issuing 80 million shares (160,000 x 75% x 2/3) at a value of GH¢4 each.

(b) IFRS 3 allows (as an option) a non-controlling interest to be valued at its proportionate share of the acquired subsidiary's identifiable net assets; this carries forward the only allowed method in the previous version of this Standard. Its effect on the statement of financial position is that the resulting carrying value of purchased goodwill only relates to the parent's element of such goodwill and as a consequence the non-controlling interest does not reflect its share of the subsidiary's goodwill. Some commentators feel this is an anomaly as the principle of a consolidated statement of financial position is that it should disclose the whole of the subsidiary's assets that are under the control of the parent (not just the parent's share). This principle is applied to all of a subsidiary's other identifiable assets, so why not goodwill?

Any impairment of goodwill under this method would only be charged against the parent's interest, as the non-controlling interest's share of goodwill is not included in the consolidated financial statements.

The second (new) method of valuing the non-controlling interest at its fair value would (normally) increase the value of the goodwill calculated on acquisition. This increase reflects the non-controlling interest's ownership of the subsidiary's goodwill and has the effect of 'grossing up' the goodwill and the non-controlling interests in the statement of financial position (by the same amount). It is argued that this method reflects the whole of the subsidiary's goodwill/premium on acquisition and is thus consistent with the principles of consolidation.

Under this method any impairment of the subsidiary's goodwill is charged to both the controlling (parent's share) and non-controlling interests in proportion to their holding of shares in the subsidiary.

Workings (figures in brackets in GH¢'000)

(i) Cost of sales	GH¢'000	GH¢'000
Papa		260,000
Mama (110,000 x 6/12)		55,000
Intra-group purchases		(40,000)
Unrealised profit on sale of plant		1,000
Depreciation adjustment on sale of plant (1,000/2½ years x 6/12)		(200)
Unrealised profit in inventory (12,000 x 10,000/40,000)		3,000
		278,800

(ii) Non-controlling interest in statement of comprehensive income profit:	
Mama's post-acquisition profit (66,000 x 6/12)	33,000
Less: Unrealised profit in inventory (w (i))	(3,000)
	30,000
x 25% =	7,500
Non-controlling interest in total comprehensive income as above	7,500
Other comprehensive income (1,000 – (400 x 6/12) x 25%)	200
	7,700

(iii) Retained earnings	
Papa at 1 April 2024	90,000
Per statement of comprehensive income	111,600
	201,600

(iv) Non-controlling interest in statement of financial position	
At acquisition	100,000
Per statement of comprehensive income	7,700
	107,700